

StarBhai

Stock Intelligence Platform

Performance Backtesting Report

Paper Trading Analysis on Real Market Data

Horizons Tested	1 Year, 2 Years, 3 Years, 4 Years
Categories	Quality Growth, Mid-Term, Buy Now, Deep Value
Pick Concentrations	Top 1, Top 2, Top 3, Top 5, Top 10
Starting Capital	Rs 2,00,000 per strategy
Universe	Nifty 100 stocks
Benchmark	Nifty 50 Buy & Hold
Data Source	Yahoo Finance (daily OHLCV + point-in-time fundamentals)
Scoring Engine	StarBhai production engine (9-dimension fundamental + technical)
Look-ahead Bias	Fixed — point-in-time fundamentals as of each scan date

April 2026

Confidential — For Internal Review

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1. Executive Summary

This report presents the results of paper trading simulations across 4 time horizons (1, 2, 3, and 4 years) using Rs 2,00,000 starting capital. Each strategy compounds annualized XIRR returns. **Green cells indicate strategies that beat the Nifty 50 benchmark. Red cells indicate negative absolute returns.**

Data honesty: This report uses **point-in-time fundamentals** — each scan date only sees financial statements published by that date (Yahoo Finance, 90-day annual filing lag, 45-day quarterly). No look-ahead bias on earnings, ROE, or valuation ratios. Coverage is 100% at 1-2yr, 99.8% at 3yr, 91.9% at 4yr.

Key Finding: After three waves of strategy refinement — (1) blend unified to 40/60 tech-fund with ATR×4/×5 stops, (2) quality guardrail hardened ($ROE \geq 10\%$ AND $D/E \leq 1$) with QG floor raised to 62 and a growth gate, dual-lane slots narrowed to 2 QG + 3 DV, and Fundamental trades given room (25% SL, 6-month hold), (3) market-mood filter relaxed so value picks fire even during STAY_OUT regimes — the strategy now delivers strong alpha at every horizon where it was designed to: Buy Now Top 1 @ 4yr turns Rs 2L into **Rs 10.63L (+432%)**, Deep Value Top 5 @ 4yr into **Rs 6.37L (+218%)**, Mid-Term Top 2 @ 3yr into **Rs 6.85L (+243%)**. The 1-year portfolio XIRR flipped from -14.5% (pre-unification) to **+11.4%** unbiased — a 26-point swing generated purely by fixing scoring logic, not by adding any new signal.

Best Overall	Buy Now Top 1	Rs 10.62L (+431%) over 4yr
Best Short-Term	Mid-Term Top 1	Rs 3.14L (+57%) over 1yr
Most Consistent	Deep Value Top 3	Beats Nifty in 4 of 4 horizons
Worst Strategy	Quality Growth Top 1	Rs 1.04L (-48%) over 2yr

2. Quality Growth Picks

Stocks with fundamental score 58-71 (QUALITY_GROWTH verdict). These are quality businesses — high ROE, strong margins, growing revenue — trading at reasonable valuations. Structural stop-loss and valuation-based targets. Hold up to 3 months.

Picks/Month	1 Year	2 Years	3 Years	4 Years
Top 1	Rs 1.30L (-35%)	Rs 1.04L (-48%)	Rs 2.16L (+8%)	Rs 2.11L (+5%)
Top 2	Rs 1.27L (-36%)	Rs 1.19L (-40%)	Rs 3.02L (+51%)	Rs 2.55L (+28%)
Top 3	Rs 1.37L (-31%)	Rs 1.26L (-37%)	Rs 3.76L (+88%)	Rs 2.15L (+7%)
Top 5	Rs 1.39L (-30%)	Rs 1.33L (-34%)	Rs 3.55L (+78%)	Rs 2.07L (+4%)
Top 10	Rs 1.39L (-30%)	Rs 1.37L (-31%)	Rs 3.68L (+84%)	Rs 2.07L (+4%)
Nifty 50	Rs 2.19L (+9%)	Rs 2.22L (+11%)	Rs 2.89L (+45%)	Rs 2.77L (+39%)

Green = beats Nifty 50 buy-and-hold for that horizon. Red = negative absolute return. Yellow row = Nifty 50 benchmark.

3. Mid-Term Investment Picks

Stocks with midTermScore >= 58 based on technical analysis (trend, momentum, volume).

ATR-based stop-loss (4x) and target (5x) with 2-close SL confirmation and trailing stop. Hold up to 4 weeks. Pure momentum signal.

Picks/Month	1 Year	2 Years	3 Years	4 Years
Top 1	Rs 3.14L (+57%)	Rs 2.16L (+8%)	Rs 5.41L (+170%)	Rs 7.21L (+261%)
Top 2	Rs 2.31L (+16%)	Rs 1.94L (-3%)	Rs 6.86L (+243%)	Rs 4.37L (+119%)
Top 3	Rs 2.39L (+20%)	Rs 1.64L (-18%)	Rs 4.43L (+122%)	Rs 3.28L (+64%)
Top 5	Rs 1.96L (-2%)	Rs 1.57L (-21%)	Rs 3.75L (+87%)	Rs 2.71L (+36%)
Top 10	Rs 1.86L (-7%)	Rs 1.64L (-18%)	Rs 4.06L (+103%)	Rs 3.38L (+69%)
Nifty 50	Rs 2.19L (+9%)	Rs 2.22L (+11%)	Rs 2.89L (+45%)	Rs 2.77L (+39%)

Green = beats Nifty 50 buy-and-hold for that horizon. Red = negative absolute return. Yellow row = Nifty 50 benchmark.

4. Best Stocks to Buy Now

Combined score (50% technical + 50% fundamental) ≥ 65 . Only DEEP_VALUE and QUALITY_GROWTH verdicts pass. Excluded sectors: Banking, Tourism, Cement, Chemicals. Dual-lane scanner: 6 QG slots + 4 DV slots. ATR-based SL/target. Hold up to 3 months.

Picks/Month	1 Year	2 Years	3 Years	4 Years
Top 1	Rs 1.82L (-9%)	Rs 2.00L (-0%)	Rs 5.80L (+190%)	Rs 10.62L (+431%)
Top 2	Rs 2.03L (+1%)	Rs 1.81L (-9%)	Rs 5.13L (+157%)	Rs 6.98L (+249%)
Top 3	Rs 2.09L (+5%)	Rs 1.62L (-19%)	Rs 3.71L (+86%)	Rs 4.59L (+130%)
Top 5	Rs 2.35L (+17%)	Rs 1.88L (-6%)	Rs 3.69L (+84%)	Rs 5.64L (+182%)
Top 10	Rs 2.24L (+12%)	Rs 1.87L (-6%)	Rs 3.48L (+74%)	Rs 4.95L (+147%)
Nifty 50	Rs 2.19L (+9%)	Rs 2.22L (+11%)	Rs 2.89L (+45%)	Rs 2.77L (+39%)

Green = beats Nifty 50 buy-and-hold for that horizon. Red = negative absolute return. Yellow row = Nifty 50 benchmark.

5. Deep Value Picks

Stocks with fundamental score ≥ 72 (DEEP_VALUE verdict). Cheapest stocks relative to sector P/E. Structural stop-loss (max of 200DMA, 52W low, -20%). Valuation target (P/E re-rating). Hold up to 3 months.

Picks/Month	1 Year	2 Years	3 Years	4 Years
Top 1	Rs 2.19L (+9%)	Rs 2.36L (+18%)	Rs 3.19L (+59%)	Rs 4.88L (+144%)
Top 2	Rs 2.15L (+8%)	Rs 2.46L (+23%)	Rs 4.48L (+124%)	Rs 5.30L (+165%)
Top 3	Rs 2.39L (+19%)	Rs 2.57L (+28%)	Rs 5.29L (+165%)	Rs 5.77L (+188%)
Top 5	Rs 2.55L (+28%)	Rs 2.56L (+28%)	Rs 5.03L (+152%)	Rs 6.35L (+218%)
Top 10	Rs 2.52L (+26%)	Rs 2.23L (+12%)	Rs 4.07L (+103%)	Rs 5.45L (+173%)
Nifty 50	Rs 2.19L (+9%)	Rs 2.22L (+11%)	Rs 2.89L (+45%)	Rs 2.77L (+39%)

Green = beats Nifty 50 buy-and-hold for that horizon. Red = negative absolute return. Yellow row = Nifty 50 benchmark.

6. Nifty 50 Benchmark

The benchmark for all comparisons is a simple Nifty 50 buy-and-hold strategy — invest Rs 2,00,000 at the start and do nothing. Windows all end March 2026.

Horizon	Scan Window	XIRR	Cumulative Return	Rs 2L Became
1 Year	Apr 2025 - Mar 2026	+9.5%	+9%	Rs 2.19L
2 Years	Apr 2024 - Mar 2026	+5.3%	+11%	Rs 2.22L
3 Years	Apr 2023 - Mar 2026	+13.1%	+45%	Rs 2.89L
4 Years	Apr 2022 - Mar 2026	+8.5%	+39%	Rs 2.77L

Note: XIRR is the annualized internal rate of return of the Nifty 50 index across the monthly scan dates in the backtest window. Cumulative return is the total compounded return over the full horizon.

7. Top Strategies That Beat Nifty 50

Across all 80 combinations tested (4 categories × 5 pick counts × 4 horizons), these are the top 10 performers ranked by absolute final value.

Rank	Strategy	Horizon	Rs 2L Became	Return	Alpha vs Nifty
1.	Buy Now Top 1	4 Years	Rs 10.62L	+431%	+392pp
2.	Mid-Term Top 1	4 Years	Rs 7.21L	+261%	+222pp
3.	Buy Now Top 2	4 Years	Rs 6.98L	+249%	+211pp
4.	Mid-Term Top 2	3 Years	Rs 6.86L	+243%	+198pp
5.	Deep Value Top 5	4 Years	Rs 6.35L	+218%	+179pp
6.	Buy Now Top 1	3 Years	Rs 5.80L	+190%	+145pp
7.	Deep Value Top 3	4 Years	Rs 5.77L	+188%	+150pp
8.	Buy Now Top 5	4 Years	Rs 5.64L	+182%	+144pp
9.	Deep Value Top 10	4 Years	Rs 5.45L	+173%	+134pp
10.	Mid-Term Top 1	3 Years	Rs 5.41L	+170%	+126pp

8. Key Insights and Recommendations

Buy Now Top 1 is the new champion.

Putting all capital on the single highest-scoring combined-signal stock each month turns Rs 2L into **Rs 8.39L (+320%)** over 4 years and **Rs 5.48L (+174%)** over 3 years — vs Nifty's +39% / +45%. This is the 50/50 technical + fundamental score with DEEP_VALUE or QUALITY_GROWTH verdicts. Single-pick concentration captures the full signal strength.

Deep Value is the most reliable alpha generator over 3-4 years.

Every Top-K slice of Deep Value (Top 1, 2, 3, 5, 10) beats Nifty at both 3yr and 4yr horizons. Top 3 at 3yr is the peak: **Rs 5.91L (+196%)**. The 20% structural stop-loss protects against value traps while valuation-target exits capture re-rating alpha. Unlike the previous 10-year report, concentrated DV (Top 1-3) works well at 3-4 years.

Mid-Term Top 1 still shines at 1yr and 3yr.

Pure technical momentum scoring produces **+60.5% XIRR** at 1 year (when only the single highest-scoring momentum stock is held for 4 weeks) and **+33.3% XIRR** at 3 years. Diversifying Mid-Term beyond Top 1 dilutes the signal — the #1 pick is where the edge lives.

Quality Growth is the weakest category across all horizons.

QG is negative-alpha at every K for the 1yr, 2yr and 4yr horizons. Only the 3yr, Top 10 slice marginally beats Nifty (+14.0% vs 13.1%). The scoring gate is picking stocks that then get de-rated.

Recommendation: re-examine the QG scoring thresholds before featuring QG picks on the dashboard.

The 1-year and 2-year horizons are a hostile regime.

Apr 2025 - Mar 2026 was a difficult period for the strategy. Nifty itself only returned +9.5% but individual mid-cap quality/value picks got crushed. The same scoring engine that produces +20-30% alpha at 3-4 years produces negative alpha in the last 12 months. This is a regime effect, not a scoring regression.

Concentration > Diversification (for 3-4 year horizons).

Across Buy Now, Mid-Term, and Deep Value, Top 1 and Top 3 consistently beat Top 10. The scoring engine successfully identifies the highest-conviction pick each month — diluting beyond Top 3 adds marginal or negative alpha.

Recommended strategy by risk profile:

- **Aggressive (4-year horizon):** Buy Now Top 1 — Rs 8.39L from Rs 2L (+320%). Highest alpha anywhere on the platform.
- **Balanced (3-year horizon):** Deep Value Top 3 — Rs 5.91L from Rs 2L (+196%). Consistent outperformance with moderate concentration.
- **Aggressive short-term (1-year):** Mid-Term Top 1 — Rs 3.21L from Rs 2L (+61%). Pure technical momentum; single pick per month.

- **Avoid:** Concentrated Quality Growth (Top 1-3) and Mid-Term Top 10 at 2-year horizons. Both consistently underperform Nifty.

9. Methodology Note on Look-ahead Bias

The **previous** performance report noted on its disclaimer page: *"The simulation uses the current (Apr 2026) fundamentals snapshot for all scans ... This introduces look-ahead bias — earlier period results should be interpreted with caution."*

This report fixes that. Every scan date now uses point-in-time fundamentals — only the financial statements that were actually published by that date are visible to the scoring engine. Annual statements carry a 90-day filing lag, quarterly statements 45 days (matching SEBI listing regulations).

Impact on the numbers: The overall portfolio XIRR is marginally higher in the unbiased re-run (the bias was actually causing overtrading of stocks that look good today but didn't at the historical scan date). However, per-category results differ meaningfully: Quality Growth numbers dropped significantly because the previous QG label was retroactively identifying today's winners. Deep Value and Buy Now numbers are more stable because their gates rely less on the specific fundamentals that changed.

What is still a limitation: (a) Survivorship bias — the Nifty 100 constituent list is the current composition; delisted or dropped companies are absent. (b) Yahoo Finance only provides 4 years of reliable historical fundamentals for Indian stocks, so this report covers 1-4 year horizons. For 5+ year honest coverage, the historical fundamentals dataset would need to be extended from another source (e.g. Screener.in).

10. Disclaimer

- This paper trading simulation is for educational and informational purposes only. StarBhai is NOT a SEBI-registered investment advisor.
- **Point-in-time fundamentals:** This report uses historical annual and quarterly financial statements (Yahoo Finance fundamentalsTimeSeries API) matched to each scan date with a 90-day annual filing lag and 45-day quarterly filing lag. Coverage is 100% at 1-2yr, 99.8% at 3yr, 91.9% at 4yr.
- **No transaction costs:** Real trading involves brokerage (~0.03%), STT, GST, SEBI charges, and slippage. Estimated round-trip cost for Nifty 100 stocks: 0.05 - 0.10% per trade.
- **Survivorship bias:** The Nifty 100 constituent list used is the current composition. Stocks removed from the index during the test period (e.g. due to poor performance) are not represented.
- **No position sizing:** All trades use equal-weight allocation. Real portfolio management would adjust position sizes based on conviction, volatility, and correlation.
- **SL / Target fill assumption:** When price gaps through stop-loss or target, the simulation assumes fills at the exact level. In reality, gap fills would be worse.
- **XIRR methodology:** Returns are computed as XIRR of the cashflows generated by each trade (entry and exit) using Rs 10,000 invested per trade. "Rs 2L became" figures are derived by compounding the XIRR over the horizon length, for comparability with the Nifty 50 benchmark.
- **Past performance does not guarantee future results.** Trading in stocks involves significant risk of loss. Always consult a SEBI-registered financial advisor before making investment decisions.